

Opening Case APPLICATION

We begin each chapter by introducing an exceptional leader and company, followed by some questions for you to answer, and we answer the questions throughout the chapter. We selected **General Electric (GE)** for the first chapter because it was ranked number 1 in the world for leaders by *Fortune Magazine*,¹ and its CEO Jeffrey Immelt has been named one of the best CEOs in the world by *Barron's*, ranked in the top 10 of *Fortune's* Most Powerful Businesspeople in the World, and named man of the year by the *Financial Times*. *Fortune Magazine*, *Financial Times*, *Forbes*, and *Business Week* consistently rank GE among the most admired companies in the United States and in the world. Over the past five years, GE has grown its earnings an average of ten percent annually.²

GE is Imagination at Work; it has a history of bringing innovation to market. GE is a diversified technology, media, and financial services company focused on solving some of the world's toughest problems. More than half of the company is located outside the United States. It serves customers in more than 100 countries and employs more than 300,000 people worldwide.³ You are either a customer of GE or have indirectly been exposed to its products and services without realizing it. GE is a conglomerate with multiple lines of business under the following six business units:

- GE Commercial Finance
- GE Healthcare

- GE Industrial
- GE Infrastructure
- GE Money
- NBC Universal

If you are interested in working for a company that is seeking people with leadership skills, or one that will develop your leadership skills, GE is a company to consider. Like most major organizations, GE's Web site provides information regarding career opportunities.

Opening Case Questions:

1. Why is GE so successful?
2. Does GE use our definition of leadership ("the influencing process of leaders and followers to achieve organizational objectives through change")?
3. Can leadership skills be developed, and can you develop your leadership skills through this course?
4. What leadership managerial roles does CEO Jeff Immelt perform at GE?

Can you answer any of these questions? You'll find answers to these questions about General Electric and its leadership throughout the chapter.

To learn more about General Electric, visit the company's Web site at <http://www.ge.com>.

The focus of this chapter is on helping you understand what leadership is and what this book is all about. We begin by defining leadership and the ten roles that leaders perform. Then we explain the three levels of leadership analysis, which provides the framework for the book. After explaining the four major leadership paradigms that have developed over the years, we end this chapter by stating the objectives of the book and presenting its organization.

Leadership Is Everyone's Business

In this section, we begin with a discussion of the importance of leadership, followed by our definition of leadership that is used throughout this book. We end by answering the question: **Are leaders born or made?**

Why Leadership Is Important

Here are just a few reasons why leadership is so important.

- The success of individual careers and the fate of organizations are determined by the effectiveness of leaders behavior.⁴ Leadership is considered crucial for success, and some researchers have argued that it is the most critical ingredient.⁵ Domino's Pizza chain CEO David Brandon states that the success of each store is based on the leadership provided by the manager.⁶ Organizations are recruiting job candidates with leadership potential and skills for all types of careers.
- Chief Executive Officers (CEOs) understand that they can't run companies on their own; the secret is to foster a leadership mentality throughout the organization.⁷ Winning the war for talent will be a predominant business challenge for this century; it's about recruiting and retaining talent and creating leadership opportunities.⁸
- Well-publicized corporate failures (Enron and WorldCom) have brought home the critical role that leadership plays in the success or failure of almost every aspect of the profit and not-for-profit environment. CEOs who don't perform get fired, as CEO tenure is shrinking. The following CEOs were recently replaced for poor performance—Gary Forsee of Sprint Nextel, Angelo Mozilo of Countrywide Financial,⁹ Charles Prince of Citigroup,¹⁰ and Stan O'Neal of Merrill Lynch.¹¹

As the examples illustrate, leadership is important,¹² and there is a great need for better leaders.¹³ If you want to be successful, you must develop your leadership skills.¹⁴ To this end, the focus of this book is to help you develop your leadership skills, so that you can become a successful leader in your personal and professional life.

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1. Why is GE so successful?

CEO Jeff Immelt says that you either get out ahead of new trends or you get stomped by them. GE is so successful because for more than 100 years it has been a world leader in getting ahead of trends. In fact, Immelt understands the importance of environmental issues and global warming. **He sees green in the future, so GE is developing technology to be a world leader in clean energy.** He is one of the leading advocates of government-mandated caps on carbon emissions because he knows caps are coming, and GE is going to be in front of the issue.¹⁵

Sustainability requires leadership development. GE is known as the company that develops leaders. It is commonly stated that more executives from GE have developed leadership skills and then gone on to become CEOs of other major firms than from any other company, with hundreds more who have gone on to hold senior corporate positions.

Ethical Dilemma 1

Is Leadership Really Important?

Scott Adams is the creator of the cartoon character Dilbert. Adams makes fun of managers, in part because he distrusts top-level managers, saying that leadership is really a crock. Leadership is about manipulating people to get them to do something they don't want to do, and there may not be anything in it for them. CEOs basically run the same

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(Ethical Dilemma 1 continued)

scam as fortune-tellers, who make up a bunch of guesses and when by chance one is correct, they hope you forget the other errors. First, CEOs blame their predecessors for anything that is bad, then they shuffle everything around, start a new strategic program, and wait. When things go well, despite the CEO, the CEO takes the credit and moves on to the next job. Adams says we may be hung up on leadership as part of our DNA. It seems we have always sought to put somebody above everybody else.¹⁶

1. Do you agree with Scott Adams that leadership is a crock?
2. Do we really need to have someone in the leadership role?

Learning Outcome 1 Briefly describe the five key elements of leadership.

Defining Leadership

The topic of leadership has generated excitement and interest since ancient times. When people think about leadership, images come to mind of powerful dynamic individuals who command victorious armies, shape the events of nations, develop religions, or direct corporate empires. How did certain leaders build such great armies, countries, religions, and companies? Why do certain leaders have dedicated followers while others do not? Why were Gandhi, Mother Theresa, Martin Luther King, and Nelson Mandela such influential leaders? How did Adolf Hitler rise to a position of great power? In this book, you will learn the major leadership theories and research findings regarding leadership effectiveness.

There is no universal definition of leadership because leadership is complex, and because leadership is studied in different ways that require different definitions. As in leadership research studies, we will use a single definition that meets our purpose in writing this book. Before you read our definition of leadership, complete Self-Assessment 1 to get a better idea of your leadership potential. In the following section, we will discuss each question as it relates to the elements of our leadership definition and to your leadership potential.

SELF-ASSESSMENT 1

Leadership Potential

As with all of the self-assessment exercises in this book, there are no right or wrong answers, so don't try to pick what you think is the right answer. Be honest in answering the questions, so that you can better understand yourself and your behavior as it relates to leadership.

For each pair of statements distribute 5 points, based on how characteristic each statement is of you. If the first statement is totally like you and the second is not like you at all, give 5 points to the first and 0 to the second. If it is the opposite, use 0 and 5. If the statement is usually like you, then the distribution can be 4 and 1, or 1 and 4.

If both statements tend to be like you, the distribution should be 3 and 2, or 2 and 3. Again, the combined score for each pair of statements must equal 5.

Here are the scoring distributions for each pair of statements:

0–5 or 5–0	One of the statements is totally like you, the other not like you at all.
1–4 or 4–1	One statement is usually like you, the other not.
2–3 or 3–2	Both statements are like you, although one is slightly more like you.

continued

(Self-Assessment 1 continued)

1. _____ I'm interested in and willing to take charge of a group of people. **0**
 _____ I want someone else to be in charge of the group. **5**
2. _____ When I'm not in charge, I'm willing to give input to the leader to improve performance. **5**
 _____ When I'm not in charge, I do things the leader's way, rather than offer my suggestions. **0**
3. _____ I'm interested in and willing to get people to listen to my suggestions and to implement them. **2**
 _____ I'm not interested in influencing other people. **3**
4. _____ When I'm in charge, I want to share the management responsibilities with group members. **0**
 _____ When I'm in charge, I want to perform the management functions for the group. **5**
5. _____ I want to have clear goals and to develop and implement plans to achieve them. **4**
 _____ I like to have very general goals and take things as they come. **1**

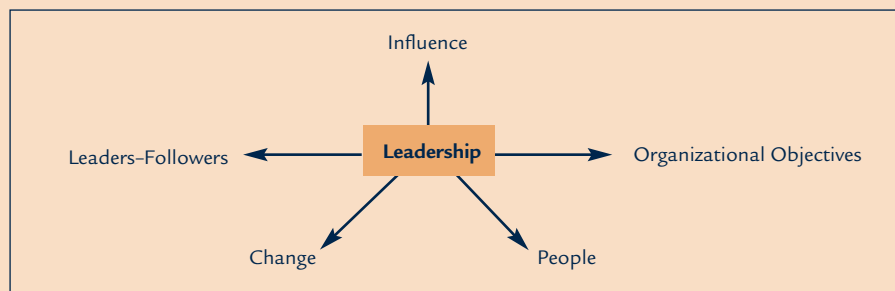
6. _____ I like to change the way my job is done and to learn and do new things. **5**
 _____ I like stability, or to do my job the same way; I don't like learning and doing new things. **0**
7. _____ I enjoy working with people and helping them succeed. **5**
 _____ I don't really like working with people and helping them succeed. **0**

To determine your leadership potential score, add up the numbers (0–5) for the first statement in each pair; don't bother adding the numbers for the second statement. The total should be between 0 and 35. Place your score on the continuum at the end of this assessment. Generally, the higher your score, the greater your potential to be an effective leader. However, the key to success is not simply potential, but persistence and hard work. You can develop your leadership ability through this course by applying the principles and theories to your personal and professional lives.

0 — 5 — 10 — 15 — 20 — **25** — 30 — 35
 Low leadership potential High leadership potential

Leadership is the influencing process of leaders and followers to achieve organizational objectives through change. Let's discuss the five key elements of our definition; see Exhibit 1.1 for a list.

EXHIBIT 1.1 Leadership Definition Key Elements



Leaders-Followers

Question 1 of Self-Assessment 1 is meant to get you thinking about whether you want to be a leader or a follower. If you are not interested and not willing to be in charge, you are better suited to be a follower. However, as you will learn in this section, good followers also perform leadership roles when needed. And followers influence leaders. Thus, in our definition of leadership, **the influencing process is between leaders and followers, not just a leader influencing followers; it's a two-way street.** Knowing how to lead and developing leadership skills will make you a better leader and

follower.¹⁷ So whether you want to be a leader or a follower, you will benefit from this book.

Throughout this book, leadership is referred to in the context of formal organizational settings in business corporations (GE, IBM), government agencies (Department of Motor Vehicles, the Police Department), and nonprofit organizations (Red Cross, Springfield College). Organizations have two major classifications of employees: managers, who have subordinates and formal authority to tell them what to do; and employees, who do not. All managers perform four major functions: planning, organizing, leading, and controlling. Leadership is thus a part of the manager's job. However, there are managers—you may know some—who are not effective leaders. There are also nonmanagers who have great influence on managers and peers. Therefore, in this book we do not use the terms *manager* and *leader* interchangeably. When we use the word *manager*, we mean a person who has a formal title and authority. When we use the term *leader*, we mean a person who may be either a manager or a nonmanager. A leader always has the ability to influence others; a manager may not. Thus, a leader is not necessarily a person who holds some formal position such as manager.

A *follower* is a person who is being influenced by a leader.¹⁸ A follower can be a manager or a nonmanager. Good followers are not “yes people” who simply follow the leader without giving input that influences the leader. In short, effective leaders influence followers, and their followers influence them.¹⁹ The qualities needed for effective leadership are the same as those needed to be an effective follower. Throughout this book, we use the term *behavior* when referring to the activities of people or the things they do and say as they are influenced. You will learn more about followership in Chapter 7.

As implied in question 2 of Self-Assessment 1, good followers give input and influence leaders. If you want to be an effective follower, you need to share your ideas.²⁰ Also, as a leader you need to listen to others and implement their ideas to be effective.²¹ According to GE CEO Jeff Immelt, GE is not run like a big company; it is run like a big partnership, where every leader can make a contribution not just to their job, but to the entire company.²²

Influence

Influencing is the process of a leader communicating ideas, gaining acceptance of them, and motivating followers to support and implement the ideas through change. Influence is the essence of leadership.²³ Question 3 of Self-Assessment 1 asked if you were interested in and willing to influence others, as a leader or follower. When you have a management position, you have more power to influence others. But, effective followers also influence others. Your ability to influence others (to get what you want) can be developed.²⁴ Influencing includes power, politics, and negotiating; you will learn more about these concepts in Chapter 4.

Influencing is also about the relationship between leaders and followers.²⁵ Managers may coerce subordinates to influence their behavior, but leaders do not. Leaders gain the commitment and enthusiasm of followers who are willing to be influenced.²⁶ Most of the leadership research is concerned with the relationship between leaders and followers.²⁷ Effective managers know when to lead and when to follow. Thus, leaders and followers often change roles throughout the influencing process.²⁸ Question 4 of Self-Assessment 1 asked if you want to share management responsibility as a leader.

Organizational Objectives

Effective leaders influence followers to think not only of their own interests but also of the interest of the organization through a shared vision.²⁹ Leadership occurs

Work Application 1

Recall a present or past job. Were you both a leader and a follower? Explain.

Work Application 2

Briefly explain the influencing relationship between the leader and followers where you work(ed).

Work Application 3

State one or more objectives from an organization where you work(ed).

Work Application 4

Are the managers where you work(ed) effective at influencing their employees to bring about change? Explain.

Work Application 5

Do managers where you work(ed) treat their employees as valuable assets? Explain.

when followers are influenced to do what is ethical and beneficial for the organization and themselves. Taking advantage of followers for personal gain is not part of leadership. Members of the organization need to work together toward an outcome that the leader and followers both want, a desired future or shared purpose that motivates them toward this more preferable outcome.³⁰ Leaders need to provide direction, but the group should set its goals.³¹ As implied in question 5 of Self-Assessment 1, effective leaders set clear goals. You will learn how to set objectives in Chapter 3.

Change

Influencing and setting objectives is about change. Organizations need to continually change, in adapting to the rapidly changing global environment.³² GE is the only company listed in the Dow Jones Industrial Index today that was also included in the original index in 1896. The other companies may have become too comfortable with doing business the same old way, perhaps causing these former business stars to fade. **Effective leaders realize the need for continual change to improve performance.**³³

Statements like these are not in a successful leader's vocabulary: *We've always done it this way; We've never done it that way before; It can't be done; No one else has done it; and It's not in the budget.* Leadership involves influencing followers to bring about change toward a desired future for the organization.³⁴

As implied in question 6 of Self-Assessment 1 and the information in this section, to be an effective leader and follower you must be open to change.³⁵ The people who advance in organizations are those who are willing to take a risk and try new things.³⁶ When was the last time you did something new and different? You will learn more about leading change in Chapter 11.

People

Although the term *people* is not specifically mentioned in our definition of leadership, after reading about the other elements, you should realize that **leadership is about leading people.** As implied in question 7 of Self-Assessment 1, to be effective at almost every job today, you must be able to get along with people. **Effective leaders and followers enjoy working with people and helping them succeed.**³⁷ People skills are more valuable than computer skills.³⁸ You will learn how to develop your people skills throughout this book.

Research, experience, and common sense all point to a direct relationship between a company's financial success and its commitment to leadership practices that treat people as assets.³⁹ There is little evidence that being a mean, tough manager is associated with leadership success. It is the collective efforts of all people contributing that make things happen.⁴⁰

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2. Does GE use our definition of leadership ("the influencing process of leaders and followers to achieve organizational objectives through change")?

Jeff Immelt is clearly the leader at GE. However, as he stated, GE is run like a big partnership where every leader can make a contribution to the job and the entire company. He doesn't make decisions and set objectives alone. Immelt has an executive team, and much of what GE does comes from these followers who influence Immelt. As stated in the opening case and under question 1, GE is always changing to stay ahead of the trends. So yes, GE does use our definition of leadership. You are learning the definition of leadership as used by hundreds of successful companies and nonprofit organizations.

Are Leaders Born or Made?

You may think this is a trick question, because most researchers say the answer is both. Effective leaders are not simply born or made, they are born with some leadership ability and develop it. So natural leadership ability offers advantages. You will learn more about leadership traits in Chapter 2. However, everyone has potential to lead,⁴¹ and leadership skills can be developed.⁴² If leadership skills could not be developed, or leaders were not made, major corporations would not spend millions of dollars on leadership training each year.⁴³ The Center for Creative Leadership (<http://www.ccl.org>) is one of the world's most respected nonprofit organizations that develops leaders in all sectors of the global economy. Clearly, it would not be in business if its global client organizations did not believe it can develop leadership skills.

Some researchers go so far as to say that experts are definitely made, not born,⁴⁴ and that everyone has equal potential to lead.⁴⁵ Legendary football coach Vince Lombardi once said, "Contrary to the opinion of many people, leaders are not born, leaders are made, and they are made by effort and hard work." Whatever your leadership ability is now (which is based on your natural ability and development), you can invest in developing your leadership skills, or you can allow them to remain as they are now. You may never become the CEO of an organization, but you can improve your leadership knowledge, ability, and skill through this course. As Vince Lombardi would put it, you can develop your leadership skills through this course if you put in the effort and work hard at it. We'll talk more about this in the last section of this chapter.

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3. Can leadership skills be developed, and can you develop your leadership skills through this course?

For 50 years companies have been trying to emulate GE's legendary Crotonville training facility (John F. Welch Leadership Center) where thousands of its employees have honed their leadership skills. With increased globalization, GE has taken Crotonville on the road to hot spots around the world including Shanghai, Munich, and Bangalore. Staying ahead of the trends, GE employees from anywhere in the world can also tap online leadership workshops through the company intranet.⁴⁶ So the answer is yes, GE is clearly developing leadership skills, and that is why other organizations are hiring GE managers to become their leaders. You can develop your leadership skills through this course if you put in the effort and work hard at it.

Learning Outcome 2 List the ten managerial roles based on their three categories.

Leadership Managerial Roles

In this section, we discuss what leaders do on the job—leadership managerial roles.⁴⁷ Henry Mintzberg identified ten managerial roles that leaders perform to accomplish organizational objectives.⁴⁸ The roles represent the dominant classes of behavioral activities that managers or their followers perform. Mintzberg defined a *role* as a set of expectations of how a person will behave to perform a job. He grouped these roles into three categories. The managerial role categories are interpersonal, informational, and decisional. Mintzberg's management role theory has been supported by research studies. Exhibit 1.2 on the next page shows the ten managerial roles, based on the three categories.

Work Application 6

Do you believe that you are a born leader? Do you believe that you can develop your leadership skills to improve job performance?

EXHIBIT 1.2 Managerial Roles

Interpersonal Roles	Informational Roles	Decisional Roles
Figurehead Leader Liaison	Monitor Disseminator Spokesperson	Entrepreneur Disturbance-handler Resource-allocator Negotiator

Interpersonal Roles

The **interpersonal leadership roles** include *figurehead*, *leader*, and *liaison*.

Figurehead Role

Leaders perform the *figurehead role* when they represent the organization or department in legal, social, ceremonial, and symbolic activities. Top-level managers are usually viewed as figureheads for their organization.⁴⁹ However, leaders throughout the organization perform the following behavior, as well as other related activities:

- Signing official documents (expense authorization, checks, vouchers, contracts, and so on)
- Entertaining clients or customers as official representatives and receiving/escorting official visitors
- Informally talking to people and attending outside meetings as an organizational representative
- Presiding at meetings and ceremonial events (awards ceremonies, retirement dinners, and so on)

Leader Role

According to Mintzberg, the *leader role* is that of performing the *management functions* to effectively operate the managers' organization unit. Therefore, the leader role pervades all managerial behavior. In other words, the leader role influences how the leader performs other roles.⁵⁰ You will learn more about the leadership role throughout this book. Here are some of the many leader behaviors that can be performed by managers or followers:

- Hiring and training
- Giving instructions and coaching
- Evaluating performance

Liaison Role

Leaders perform the *liaison role* when they interact with people outside their organizational unit. Liaison behavior includes networking to develop relationships and gain information and favors.⁵¹ Organizational politics is an important part of the liaison role, and you will learn more about how to gain and use power, how to conduct politics, and how to network in Chapter 4. Here are a few of the liaison role behaviors:

- Serving on committees with members from outside the organizational unit
- Attending professional/trade association meetings
- Calling and meeting with people to keep in touch

Work Application 7

Give one job example of the specific behavior you or some other leader displayed when performing the figurehead, leader, and liaison roles. For each of the three roles, be sure to identify the leader as you or another, the role by its name, and the specific behavior.

Informational Roles

The **informational leadership roles** include *monitor*, *disseminator*, and *spokesperson*. You will learn more about informational roles in Chapter 6.

Monitor Role

Leaders perform the *monitor role* when they gather information. Most of the information is analyzed to discover problems and opportunities, and to understand events outside the organizational unit.⁵² Some of the information is passed on to other people in the organizational unit (disseminator role), or to people outside the unit (spokesperson role). Information is gathered by behavior, including:

- Reading memos, reports, professional/trade publications, newspapers, and so forth
- Talking to others, attending meetings inside and outside the organization, and so forth
- Observing (visiting a competitor's store to compare products, prices, and business processes)

Disseminator Role

Leaders perform the *disseminator role* when they send information to others in the organizational unit. Managers have access to information that is not available to employees. Some of the information that comes from higher levels of management must be passed on to employees, either in its original form or paraphrased. Using information translated into skills that advance the organization is now often being referred to as *knowledge management*.⁵³ Information is passed on in one or both of the following forms:

- Orally through voice mail, one-on-one discussions, and group meetings. You will learn how to conduct meetings in Chapter 8
- Written through e-mail and snail mail (U.S. mail)

Spokesperson Role

Leaders perform the *spokesperson role* when they provide information to people outside the organizational unit. People must report information to their boss (board of directors, owner, managers) and people outside the organizational unit (other departments, customers, suppliers). Leaders lobby and serve as public relations representatives for their organizational unit. Here are some examples of when the spokesperson role is performed:

- Meeting with the boss to discuss performance and with the budget officer to discuss the unit budget
- Answering letters
- Reporting information to the government (the IRS, OSHA)

Decisional Roles

The **decisional leadership roles** include *entrepreneur*, *disturbance-handler*, *resource-allocator*, and *negotiator*.

Entrepreneur Role

Leaders perform the *entrepreneur role* when they innovate and initiate improvements.⁵⁴ Leaders often get ideas for improvements through the monitor role. Here are some examples of entrepreneur behavior:

- Developing new or improved products and services
- Developing new ways to process products and services
- Purchasing new equipment

Work Application 8

Give one job example of the specific behavior you or some other leader conducted when performing the monitor, disseminator, and spokesperson roles. For each of the three roles, be sure to identify the leader as you or another, the role by its name, and the specific behavior.

Disturbance-Handler Role

Leaders perform the *disturbance-handler role* when they take corrective action during crisis or conflict situations. You will learn more about how to handle conflicts in Chapter 6. Unlike the planned action of the entrepreneur role to take advantage of an opportunity, the disturbance is a reaction to an unexpected event that creates a problem.⁵⁵ Leaders typically give this role priority over all other roles. Here are some examples of emergencies leaders may have to resolve:

- A union strike
- The breakdown of important machines/equipment
- Needed material arriving late
- A tight schedule to meet

Resource-Allocator Role

Leaders perform the *resource-allocator role* when they schedule, request authorization, and perform budgeting activities. Deciding who gets the organization's limited resources is an important task of managers.⁵⁶ Here are some examples of resource allocation:

- Deciding what is done now, done later, and not done (time management; priorities)
- Determining who gets overtime or a merit raise (budgeting)
- Scheduling when employees will use material and equipment

Negotiator Role

Leaders perform the *negotiator role* when they represent their organizational unit during routine and nonroutine transactions that do not include set boundaries (such as only one price and term of a sale/purchase for a product/service, or pay of an employee). When there are no set prices or pay conditions, leaders can try to negotiate a good deal to get the resources they need. You will be involved in employment negotiations,⁵⁷ and you will learn how to negotiate in Chapter 4. Here are some examples of negotiations:

- Pay and benefits package for a new professional employee or manager
- Labor union contract
- Contract with a customer (sale) or supplier (purchase)

Although managers are responsible for all ten roles, which roles are most important—and which roles the manager performs and which are performed by other leaders—will vary based on the manager's job. The relative emphasis placed on these roles will vary as a function of organizational technology, the day-to-day problems faced by leaders, and the task environment of their organizations.⁵⁸ After answering Work Applications 7 through 9, you should realize that you and others perform the leadership roles regardless of management title.

Work Application 9

Give one job example of the specific behavior you or some other leader performed when fulfilling the entrepreneur, disturbance-handler, resource-allocator, and negotiator roles. For each of the four roles, be sure to identify the leader as you or another, the role by its name, and the specific behavior.

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4. What leadership managerial roles does CEO Jeff Immelt perform at GE?

Like all managers who are good leaders, Jeff Immelt plays all ten roles, and he delegates these roles to his followers. Immelt's interpersonal roles include signing documents, entertaining customers, running and attending meetings; leadership development and evaluation of followers; and serving on committees and boards. His informational roles include extensive communications. Immelt's decisional roles include developing new products and processes to keep ahead of the competition, dealing with crises, deciding which business units to give resources to and which to drain, as well as which to buy and to sell.